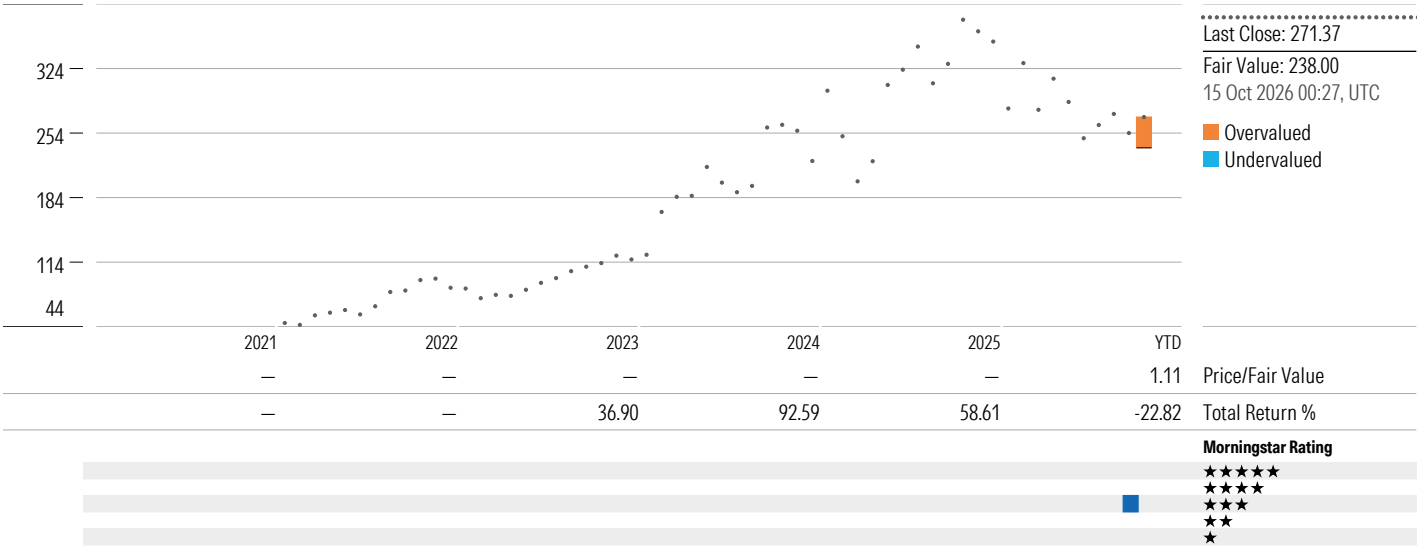
Constellation Energy Corp CEG ★★★ 19 Oct 2026 21:44, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation
271.37 USD 16 Oct 2026	238.00 USD 15 Oct 2026 00:27, UTC	1.11	93.25 USD Bil 19 Oct 2026	Narrow	Mid Growth	High	Exemplary

Price vs. Fair Value



—	—	—	—	—	1.11	Price/Fair Value
—	—	36.90	92.59	58.61	-22.82	Total Return %

Total Return % as of 16 Oct 2026. Last Close as of 16 Oct 2026. Fair Value as of 15 Oct 2026 00:27, UTC.

Contents

Analyst Note (14 Oct 2026)
Business Description
Business Strategy & Outlook (14 Oct 2026)
Bulls Say / Bears Say (14 Oct 2026)
Economic Moat (14 Oct 2026)
Fair Value and Profit Drivers (14 Oct 2026)
Risk and Uncertainty (14 Oct 2026)
Capital Allocation (14 Oct 2026)
Analyst Notes Archive
Financials
ESG Risk
Appendix
Research Methodology for Valuing Companies

Important Disclosure

The conduct of Morningstar's analysts is governed by Code of Ethics/Code of Conduct Policy, Personal Security Trading Policy (or an equivalent of), and Investment Research Policy. For information regarding conflicts of interest, please visit: https://shareholders.morningstar.com/governance/compliance-disclosures/default.aspx

The primary analyst covering this company does not own its stock.

Constellation Energy: Initiating Coverage; Google Deal Illustrates Competitive Advantage

Analyst Note Travis Miller, Senior Equity Analyst, 14 Oct 2026

We are initiating coverage of Constellation Energy, the largest independent power producer and retail energy supplier in the US and one of the five largest investor-owned US utilities.

The bottom line: Constellation's stock trades at an 18% premium to our $238 fair value estimate as of Oct. 14. We assign the company a Narrow Morningstar Economic Moat Rating based on cost advantage in the retail energy market.

- The stock jumped 12% on Oct. 6 after the company announced a large contract with Google. Constellation's scale and resource diversity help it win large, long-term contracts with data center customers.
- The $22 billion Calpine acquisition that closed in January added the largest US gas generation fleet to Constellation's largest US nuclear fleet, strengthening the company's competitive advantage.

Big picture: Our fair value estimate implies a 13 times enterprise value/EBITDA multiple, a premium to our valuations for smaller peers Vistra and NRG Energy.

- Constellation's stock tripled in 2024-25 as investors expected it to benefit from data center energy demand growth. The stock is down about 20% year to date as some of that excitement has worn off.
- Our 2026 EPS estimate is in line with management's $11.50-$12.50 guidance range. We assume EPS will climb to $19.00 by 2029 as high-margin data center contracts ramp up.

© Morningstar 2026. All Rights Reserved. Unless otherwise provided in a separate agreement, you may use this report only in the country in which its original distributor is based. The information, data, analyses and opinions presented herein do not constitute investment advice; are provided solely for informational purposes and therefore are not an offer to buy or sell a security; and are not warranted to be correct, complete or accurate. The opinions expressed are as of the date written and are subject to change without notice. Except as otherwise required by law, Morningstar shall not be responsible for any trading decisions, damages or other losses resulting from, or related to, the information, data, analyses or opinions or their use. The information contained herein is the proprietary property of Morningstar and may not be reproduced, in whole or in part, or used in any manner, without the prior written consent of Morningstar. Investment research is produced and issued by subsidiaries of Morningstar, Inc. To order reprints, call +1 312-696-6100. To license the research, call +1 312-696-6869. Please see important disclosures at the end of this report.

MORNINGSTAR®

Constellation Energy Corp CEG ★★★ 19 Oct 2026 21:44, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation
271.37 USD 16 Oct 2026	238.00 USD 15 Oct 2026 00:27, UTC	1.11	93.25 USD Bil 19 Oct 2026	Narrow	Mid Growth	High	Exemplary

Sector
Utilities

Industry
Utilities - Independent Power Producers

Business Description

Constellation Energy spun off from Exelon in 2022 and is now the largest US independent power producer. After acquiring Calpine in 2026, Constellation owns 55 gigawatts of power generation capacity. Constellation is the largest nuclear plant owner in the US with 22 GW of nuclear power generation capacity in six states. It also owns 4 GW of renewable energy projects. Constellation's retail energy business serves 2.5 million customers.

Why it matters: Federal tax credits and New York clean energy credits establish a revenue floor for Constellation's legacy nuclear fleet.

- The federal production tax credits expire at year-end 2032. New York recently extended its clean energy credit program through 2049 to help the state meet its carbon-free electricity goal by 2050.
- Constellation's data center deals support the restart of the newly named Crane nuclear plant in Pennsylvania and expansions at several of its other nuclear plants.

Coming up: Constellation will report third-quarter results on Nov. 9.

Business Strategy & Outlook Travis Miller, Senior Equity Analyst, 14 Oct 2026

Since spinning off from Exelon in 2022, Constellation Energy has grown to become the largest independent power producer in the US and among the largest in the world.

Growing electricity demand, particularly from new data centers, should benefit Constellation more than other independent power producers because of its diversification, scale, and history of industry-leading operations. As the nation's largest nuclear plant owner, power producer, and retail energy supplier, Constellation is positioned better than its smaller peers to serve large energy users.

The $22 billion cash-and-stock Calpine acquisition from private equity firms in January 2026 further diversified and expanded Constellation's power generation fleet. The acquisition added 23 gigawatts of mostly natural gas power plants to Constellation's 32 GW mostly nuclear fleet, dwarfing other US power producers.

Constellation also is a giant in the retail energy supply business with 2.5 million customer accounts and a dominant position among large business customers.

Constellation's scale has helped it secure large, long-term data center energy supply contracts with Microsoft, Meta, Amazon, and Google. Most of the deals also will support substantial capacity additions at its nuclear fleet.

Federal nuclear production tax credits and clean energy credits in Illinois and New York have boosted returns for several of Constellation's nuclear plants that nearly closed due to competition from low-cost natural gas generators. The federal PTC, which sets a revenue floor for each plant, runs through 2032 and the New York zero-emissions credit program runs through 2049.

Calpine's large Texas presence reduces Constellation's legacy concentration in the Midwest and mid-Atlantic, where electricity demand growth and energy margins have been weak for many years. After the acquisition, half of Constellation's generation comes from its plants in the mid-Atlantic and nearly one-fourth from Texas.

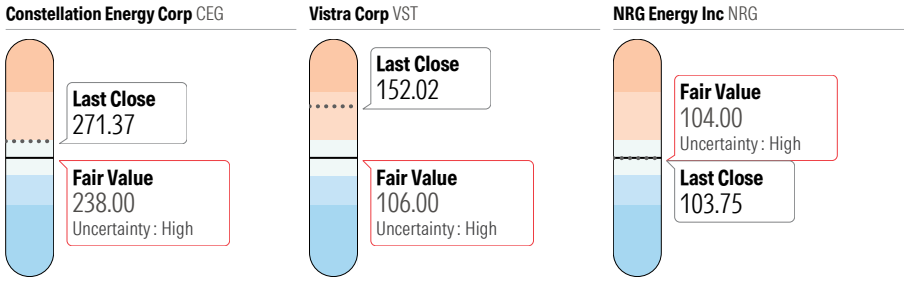
© Morningstar 2026. All Rights Reserved. Unless otherwise provided in a separate agreement, you may use this report only in the country in which its original distributor is based. The information, data, analyses and opinions presented herein do not constitute investment advice; are provided solely for informational purposes and therefore are not an offer to buy or sell a security; and are not warranted to be correct, complete or accurate. The opinions expressed are as of the date written and are subject to change without notice. Except as otherwise required by law, Morningstar shall not be responsible for any trading decisions, damages or other losses resulting from, or related to, the information, data, analyses or opinions or their use. The information contained herein is the proprietary property of Morningstar and may not be reproduced, in whole or in part, or used in any manner, without the prior written consent of Morningstar. Investment research is produced and issued by subsidiaries of Morningstar, Inc. To order reprints, call +1 312-696-6100. To license the research, call +1 312-696-6869. Please see important disclosures at the end of this report.

MORNINGSTAR®

Constellation Energy Corp CEG ★★★ 19 Oct 2026 21:44, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation
271.37 USD 16 Oct 2026	238.00 USD 15 Oct 2026 00:27, UTC	1.11	93.25 USD Bil 19 Oct 2026	Narrow	Mid Growth	High	Exemplary

Competitors



	Constellation Energy Corp CEG	Vistra Corp VST	NRG Energy Inc NRG
Economic Moat	Narrow	None	None
Currency	USD	USD	USD
Fair Value	238.00 15 Oct 2026 00:27, UTC	106.00 19 Oct 2026 16:35, UTC	104.00 19 Oct 2026 16:15, UTC
1-Star Price	368.90	164.30	161.20
5-Star Price	142.80	63.60	62.40
Assessment	Fairly Valued 15 Oct 2026	Overvalued 25 Jul 2026	Fairly Valued 27 Jul 2026
Morningstar Rating	★★★19 Oct 2026 21:44, UTC	★★19 Oct 2026 05:00, UTC	★★★19 Oct 2026 05:00, UTC
Analyst	Travis Miller, Senior Equity Analyst	Travis Miller, Senior Equity Analyst	Travis Miller, Senior Equity Analyst
Capital Allocation	Exemplary	Standard	Standard
Price/Fair Value	1.11	1.41	0.96
Price/Sales	2.82	2.70	0.61
Price/Book	2.92	16.73	4.97
Price/Earning	25.73	25.24	26.02
Dividend Yield	0.63%	0.61%	1.88%
Market Cap	93.21 Bil	50.24 Bil	20.89 Bil
52-Week Range	228.63—406.04	132.66—210.05	93.36—189.96
Investment Style	Mid Growth	Mid Blend	Mid Value

Constellation produces substantial cash flow that it uses to pay a dividend and fund share buybacks that could average $2 billion annually for the next several years.

Bulls Say Travis Miller, Senior Equity Analyst, 14 Oct 2026

- Constellation's ample cash flow gives it financial flexibility to repurchase stock, invest in growth projects, and pursue acquisitions.
- The Calpine acquisition gives Constellation a large fleet of highly efficient gas power plants that can earn higher margins than its competitors with older, less-efficient power plants.
- The retail-wholesale integrated business model can reduce the volatility of cash flows and margins, allowing Constellation to be a low-cost energy supplier.

Bears Say Travis Miller, Senior Equity Analyst, 14 Oct 2026

- Low gas and electricity prices hurt the profitability of Constellation's nuclear fleet.

© Morningstar 2026. All Rights Reserved. Unless otherwise provided in a separate agreement, you may use this report only in the country in which its original distributor is based. The information, data, analyses and opinions presented herein do not constitute investment advice; are provided solely for informational purposes and therefore are not an offer to buy or sell a security; and are not warranted to be correct, complete or accurate. The opinions expressed are as of the date written and are subject to change without notice. Except as otherwise required by law, Morningstar shall not be responsible for any trading decisions, damages or other losses resulting from, or related to, the information, data, analyses or opinions or their use. The information contained herein is the proprietary property of Morningstar and may not be reproduced, in whole or in part, or used in any manner, without the prior written consent of Morningstar. Investment research is produced and issued by subsidiaries of Morningstar, Inc. To order reprints, call +1 312-696-6100. To license the research, call +1 312-696-6869. Please see important disclosures at the end of this report.

MORNINGSTAR®

Constellation Energy Corp CEG ★★★ 19 Oct 2026 21:44, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation
271.37 USD 16 Oct 2026	238.00 USD 15 Oct 2026 00:27, UTC	1.11	93.25 USD Bil 19 Oct 2026	Narrow	Mid Growth	High	Exemplary

- Retail energy markets are highly competitive with tight margins. A small operational miscue can lead to large losses.
- Environmental regulations could lead Constellation to shrink its natural gas exposure.

Economic Moat Travis Miller, Senior Equity Analyst, 14 Oct 2026

We assign Constellation a Narrow Morningstar Economic Moat Rating based on a cost advantage in the retail energy supply market.

Establishing a competitive advantage in retail energy markets requires scale, customer and regional diversification, and a diversified generation fleet. Following the Calpine acquisition, Constellation has an optimal portfolio to establish a competitive advantage in the retail energy markets it serves.

Retail energy markets are highly competitive with low margins, low switching costs, and high customer acquisition costs. However, retail energy markets are less sensitive to near-term wholesale market volatility. Constellation started as one of the largest retail energy suppliers following energy market deregulation in the late 1990s. When Exelon acquired it in 2012, Constellation assumed the largest nuclear fleet in the US.

For more than a decade, Constellation as part of Exelon struggled to earn returns consistently above its cost of capital because of its concentrated exposure to nuclear and the Midwest energy markets. Competition from low-cost natural gas generation and renewable energy squeezed nuclear margins. Federal and state tax incentives kept Exelon from shutting down several of its nuclear plants. Flat or falling energy use in its core Midwest and mid-Atlantic retail markets squeezed supply margins.

Acquiring Calpine gave Constellation the largest low-cost natural gas generation fleet in the US and a large position in Texas, the two key missing pieces in Constellation's legacy business.

Constellation now owns the largest fleet of low-cost baseload generation (nuclear, renewable energy), the largest fleet of low-cost peak generation (combined-cycle gas plants), and the largest retail customer platform in the three largest deregulated energy markets in the US. This portfolio diversification and scale give it a competitive advantage that other independent power producers and retail energy suppliers can't match.

Fair Value and Profit Drivers Travis Miller, Senior Equity Analyst, 14 Oct 2026

Our fair value estimate is $238 per share after incorporating the latest operating and financial updates, including the recently announced Amazon and Google data center contracts.

We forecast $12.00 in earnings per share in 2026, in line with management's most recent guidance range. This assumes Constellation continues repurchasing shares in the second half of the year and is

© Morningstar 2026. All Rights Reserved. Unless otherwise provided in a separate agreement, you may use this report only in the country in which its original distributor is based. The information, data, analyses and opinions presented herein do not constitute investment advice; are provided solely for informational purposes and therefore are not an offer to buy or sell a security; and are not warranted to be correct, complete or accurate. The opinions expressed are as of the date written and are subject to change without notice. Except as otherwise required by law, Morningstar shall not be responsible for any trading decisions, damages or other losses resulting from, or related to, the information, data, analyses or opinions or their use. The information contained herein is the proprietary property of Morningstar and may not be reproduced, in whole or in part, or used in any manner, without the prior written consent of Morningstar. Investment research is produced and issued by subsidiaries of Morningstar, Inc. To order reprints, call +1 312-696-6100. To license the research, call +1 312-696-6869. Please see important disclosures at the end of this report.

MORNINGSTAR®

Constellation Energy Corp CEG ★★★ 19 Oct 2026 21:44, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation
271.37 USD 16 Oct 2026	238.00 USD 15 Oct 2026 00:27, UTC	1.11	93.25 USD Bil 19 Oct 2026	Narrow	Mid Growth	High	Exemplary

able to hit its projected generation volumes. Favorable summer weather should support our earnings outlook.

We expect earnings to grow quickly during the next three years, reaching $19.00 per share by 2029. The primary drivers are the ramp-up of high-margin large data center contracts, the addition of the Crane Clean Energy Center, higher mid-Atlantic capacity prices, and the mid-2027 roll-off of the Illinois carbon mitigation credit price caps.

Share buybacks totaling at least $2 billion annually also boost earnings per share.

We assume the bulk of Constellation's growth investment during the next three years goes to the Crane restart and the other committed capacity expansions.

We use a 9.6% cost of equity in our discounted cash flow valuation.

Risk and Uncertainty Travis Miller, Senior Equity Analyst, 14 Oct 2026

We assign Constellation a High Morningstar Uncertainty Rating primarily due to its exposure to volatile wholesale and retail energy prices and demand. Although Constellation's diversification helps reduce some of that volatility, it still operates in highly competitive markets that can be sensitive to uncontrollable factors like weather and economic trends.

Constellation also has operating risks. The company must keep its plants operating at high availability levels to take advantage of the times when electricity demand and wholesale power prices peak. Constellation also must manage its retail supply risk to protect against unexpected spikes in customer demand and energy market prices.

Constellation has yet to suffer a significant financial loss due to abrupt changes in the electricity and gas markets, primarily due to its diversification across geographies, generation types, and sales channels. The Calpine assets are more sensitive to volatile wholesale markets, but the diversification they offer should reduce volatility for Constellation's entire business portfolio.

We think Constellation maintains sufficient cash and liquidity to manage market volatility. Constellation's substantial free cash flow should allow it to return at least $2.5 billion of cash each year to investors through dividends and share buybacks while still funding growth investments.

Constellation faces environmental, social, and governance risk, given its fossil fuel and nuclear power generation fleet. Constellation is addressing this risk by investing in clean energy such as utility-scale batteries to supplement its renewable energy fleet.

Capital Allocation Travis Miller, Senior Equity Analyst, 14 Oct 2026

We give Constellation a Morningstar Capital Allocation Rating of Exemplary based on management's

© Morningstar 2026. All Rights Reserved. Unless otherwise provided in a separate agreement, you may use this report only in the country in which its original distributor is based. The information, data, analyses and opinions presented herein do not constitute investment advice; are provided solely for informational purposes and therefore are not an offer to buy or sell a security; and are not warranted to be correct, complete or accurate. The opinions expressed are as of the date written and are subject to change without notice. Except as otherwise required by law, Morningstar shall not be responsible for any trading decisions, damages or other losses resulting from, or related to, the information, data, analyses or opinions or their use. The information contained herein is the proprietary property of Morningstar and may not be reproduced, in whole or in part, or used in any manner, without the prior written consent of Morningstar. Investment research is produced and issued by subsidiaries of Morningstar, Inc. To order reprints, call +1 312-696-6100. To license the research, call +1 312-696-6869. Please see important disclosures at the end of this report.

MORNINGSTAR®

Constellation Energy Corp CEG ★★★ 19 Oct 2026 21:44, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation
271.37 USD 16 Oct 2026	238.00 USD 15 Oct 2026 00:27, UTC	1.11	93.25 USD Bil 19 Oct 2026	Narrow	Mid Growth	High	Exemplary

mix of share buybacks, dividends, acquisitions, and growth investments in the few years since it separated from Exelon.

The Calpine acquisition was management's biggest move since the spinoff from Exelon. We think this acquisition is the key reason Constellation has a narrow moat. It gives Constellation what we consider an ideal mix of generation and geographical diversification that its legacy business was missing. The deal is immediately earnings-accretive and should boost returns further as Constellation grows its retail business with backing from the Calpine assets, particularly in Texas.

We also think Constellation management has been opportunistic by using large data center contracts to fund expansions at its nuclear fleet. Uprates cost far less than building new nuclear plants, and long-term contracted revenue reduces Constellation's wholesale market exposure. This should comfort investors as Constellation spends what we estimate will be more than $5 billion to add the equivalent of a new nuclear plant across its fleet and restart the former Three Mile Island plant.

We think Constellation's acquisition of a 44% ownership stake in the South Texas Project nuclear plant for $1.4 billion in 2023 also was a good move to support its retail energy business growth in the state.

Constellation's executive management team all worked in similar roles with Exelon before the spinoff. Most importantly, all of them experienced the ups and downs that Exelon constantly faced balancing Constellation's deregulated market strategy and Exelon's regulated utility strategy. CEO Joe Dominguez held various roles at Exelon, including CEO of Exelon's regulated distribution utility in Illinois, ComEd.

Analyst Notes Archive

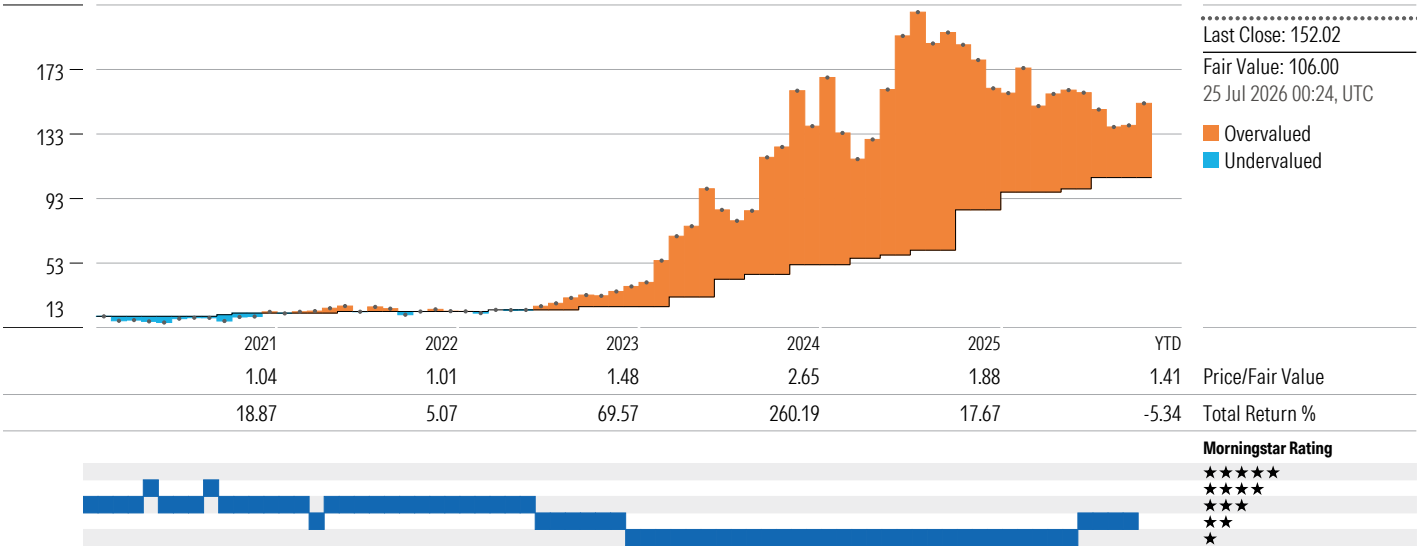
© Morningstar 2026. All Rights Reserved. Unless otherwise provided in a separate agreement, you may use this report only in the country in which its original distributor is based. The information, data, analyses and opinions presented herein do not constitute investment advice; are provided solely for informational purposes and therefore are not an offer to buy or sell a security; and are not warranted to be correct, complete or accurate. The opinions expressed are as of the date written and are subject to change without notice. Except as otherwise required by law, Morningstar shall not be responsible for any trading decisions, damages or other losses resulting from, or related to, the information, data, analyses or opinions or their use. The information contained herein is the proprietary property of Morningstar and may not be reproduced, in whole or in part, or used in any manner, without the prior written consent of Morningstar. Investment research is produced and issued by subsidiaries of Morningstar, Inc. To order reprints, call +1 312-696-6100. To license the research, call +1 312-696-6869. Please see important disclosures at the end of this report.

MORNINGSTAR®

Constellation Energy Corp CEG ★★★ 19 Oct 2026 21:44, UTC

Competitors Price vs. Fair Value

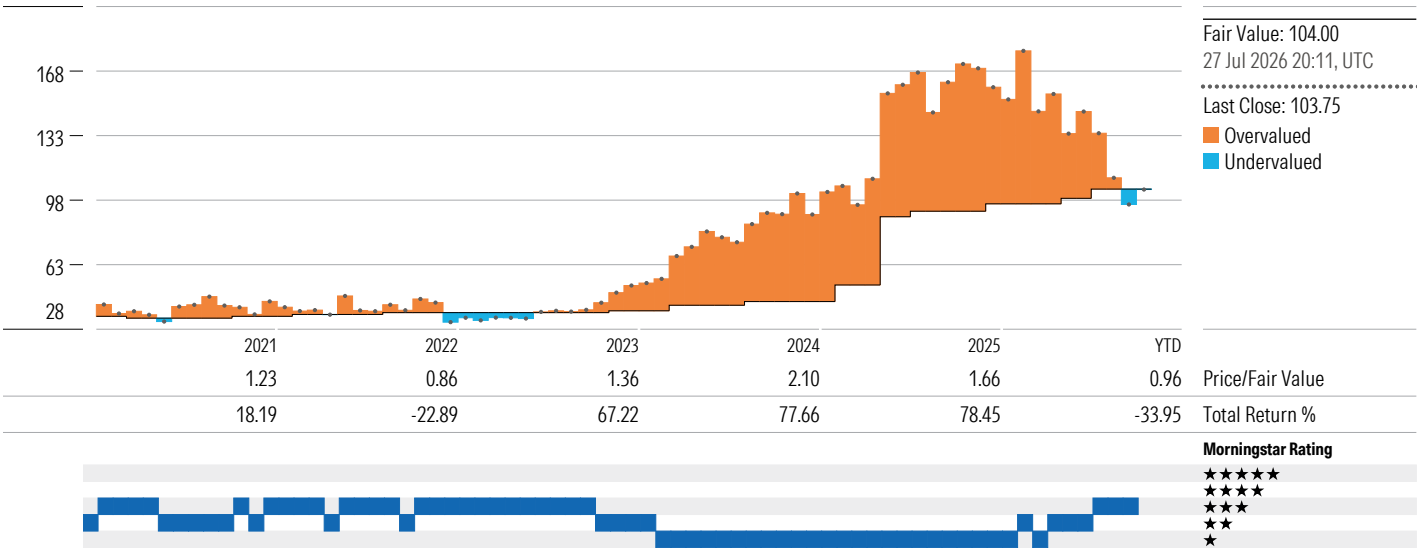
Vistra Corp VST



	2021	2022	2023	2024	2025	YTD	
	1.04	1.01	1.48	2.65	1.88	1.41	Price/Fair Value
	18.87	5.07	69.57	260.19	17.67	-5.34	Total Return %

Total Return % as of 16 Oct 2026. Last Close as of 16 Oct 2026. Fair Value as of 25 Jul 2026 00:24, UTC.

NRG Energy Inc NRG



	2021	2022	2023	2024	2025	YTD	
	1.23	0.86	1.36	2.10	1.66	0.96	Price/Fair Value
	18.19	-22.89	67.22	77.66	78.45	-33.95	Total Return %

Total Return % as of 16 Oct 2026. Last Close as of 16 Oct 2026. Fair Value as of 27 Jul 2026 20:11, UTC.

© Morningstar 2026. All Rights Reserved. Unless otherwise provided in a separate agreement, you may use this report only in the country in which its original distributor is based. The information, data, analyses and opinions presented herein do not constitute investment advice; are provided solely for informational purposes and therefore are not an offer to buy or sell a security; and are not warranted to be correct, complete or accurate. The opinions expressed are as of the date written and are subject to change without notice. Except as otherwise required by law, Morningstar shall not be responsible for any trading decisions, damages or other losses resulting from, or related to, the information, data, analyses or opinions or their use. The information contained herein is the proprietary property of Morningstar and may not be reproduced, in whole or in part, or used in any manner, without the prior written consent of Morningstar. Investment research is produced and issued by subsidiaries of Morningstar, Inc. To order reprints, call +1 312-696-6100. To license the research, call +1 312-696-6869. Please see important disclosures at the end of this report.

MORNINGSTAR®

Constellation Energy Corp CEG ★★★ 19 Oct 2026 21:44, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation
271.37 USD 16 Oct 2026	238.00 USD 15 Oct 2026 00:27, UTC	1.11	93.25 USD Bil 19 Oct 2026	Narrow	Mid Growth	High	Exemplary

Morningstar Valuation Model Summary

Financials as of 14 Oct 2026	Actual			Forecast				
Fiscal Year, ends 31 Dec	2023	2024	2025	2026	2027	2028	2029	2030
Revenue (USD Mil)	24,918	23,568	25,533	42,960	44,029	47,070	49,879	50,884
Operating Income (USD Mil)	2,136	4,867	3,708	7,198	7,686	9,239	10,517	10,290
EBITDA (USD Mil)	3,974	6,145	5,007	8,323	9,011	10,700	12,115	12,024
Adjusted EBITDA (USD Mil)	3,974	6,145	5,007	8,323	9,011	10,700	12,115	12,024
Net Income (USD Mil)	1,623	3,749	2,319	4,312	4,522	5,295	6,309	6,219
Adjusted Net Income (USD Mil)	1,623	3,749	2,319	4,312	4,522	5,295	6,309	6,219
Free Cash Flow To The Firm (USD Mil)	-2,863	2,484	-282	-9,428	3,570	5,021	5,955	6,372
Weighted Average Diluted Shares Outstanding (Mil)	324	315	314	357	347	339	331	323
Earnings Per Share (Diluted) (USD)	5.01	11.90	7.39	12.08	13.05	15.61	19.05	19.24
Adjusted Earnings Per Share (Diluted) (USD)	0.00	8.67	9.39	12.08	13.05	15.61	19.05	19.24
Dividends Per Share (USD)	1.13	1.41	1.55	1.70	1.85	2.00	2.15	2.30

Margins & Returns as of 14 Oct 2026		Actual			Forecast					
	3 Year Avg	2023	2024	2025	2026	2027	2028	2029	2030	5 Year Avg
Operating Margin %	16.2	8.6	20.7	14.5	16.8	17.5	19.6	21.1	20.2	17.5
EBITDA Margin %	—	16.0	26.1	19.6	19.4	20.5	22.7	24.3	23.6	—
Adjusted EBITDA Margin %	—	16.0	26.1	19.6	19.4	20.5	22.7	24.3	23.6	22.1
Net Margin %	10.5	6.5	15.9	9.1	10.0	10.3	11.3	12.7	12.2	11.3
Adjusted Net Margin %	10.5	6.5	15.9	9.1	10.0	10.3	11.3	12.7	12.2	11.3
Free Cash Flow To The Firm Margin %	-0.7	-11.5	10.5	-1.1	-22.0	8.1	10.7	11.9	12.5	4.3

Growth & Ratios as of 14 Oct 2026		Actual			Forecast					
	3 Year CAGR	2023	2024	2025	2026	2027	2028	2029	2030	5 Year CAGR
Revenue Growth %	1.5	2.0	-5.4	8.3	68.3	2.5	6.9	6.0	2.0	14.8
Operating Income Growth %	50.4	96.0	127.9	-23.8	94.1	6.8	20.2	13.8	-2.2	22.7
EBITDA Growth %	144.3	396.8	54.6	-18.5	66.2	8.3	18.8	13.2	-0.8	21.1
Adjusted EBITDA Growth %	84.3	396.8	54.6	-18.5	66.2	8.3	18.8	13.2	-0.8	19.2
Earnings Per Share Growth %	—	-1130.0	137.6	-38.0	63.5	8.0	19.7	22.0	1.0	21.1
Adjusted Earnings Per Share Growth %	—	—	—	8.3	28.6	8.0	19.7	22.0	1.0	21.1

Valuation as of 14 Oct 2026	Actual			Forecast				
	2023	2024	2025	2026	2027	2028	2029	2030
Price/Earning	—	25.8	37.6	21.8	20.2	16.9	13.8	13.7
Price/Sales	1.5	3.0	4.3	2.2	2.1	2.0	1.9	1.8
Price/Book	3.5	5.4	7.6	4.2	3.7	3.3	2.8	2.5
Price/Cash Flow	—	—	—	—	—	—	—	—
EV/EBITDA	11.0	12.5	23.0	14.1	13.0	11.0	9.7	9.8
EV/EBIT	20.4	15.7	31.1	16.3	15.3	12.7	11.1	11.4
Dividend Yield %	1.0	0.6	0.4	0.7	0.7	0.8	0.8	0.9
Dividend Payout %	—	16.3	16.5	14.1	14.2	12.8	11.3	12.0
Free Cash Flow Yield %	—	—	—	—	—	—	—	—

Operating Performance / Profitability as of 14 Oct 2026	Actual			Forecast				
Fiscal Year, ends 31 Dec	2023	2024	2025	2026	2027	2028	2029	2030
ROA %	3.2	7.1	4.1	4.7	4.8	5.6	6.5	6.3
ROE %	14.4	27.7	15.6	19.1	18.3	19.4	20.4	18.1
ROIC %	11.6	17.4	13.3	14.7	10.9	12.8	14.2	13.7

© Morningstar 2026. All Rights Reserved. Unless otherwise provided in a separate agreement, you may use this report only in the country in which its original distributor is based. The information, data, analyses and opinions presented herein do not constitute investment advice; are provided solely for informational purposes and therefore are not an offer to buy or sell a security; and are not warranted to be correct, complete or accurate. The opinions expressed are as of the date written and are subject to change without notice. Except as otherwise required by law, Morningstar shall not be responsible for any trading decisions, damages or other losses resulting from, or related to, the information, data, analyses or opinions or their use. The information contained herein is the proprietary property of Morningstar and may not be reproduced, in whole or in part, or used in any manner, without the prior written consent of Morningstar. Investment research is produced and issued by subsidiaries of Morningstar, Inc. To order reprints, call +1 312-696-6100. To license the research, call +1 312-696-6869. Please see important disclosures at the end of this report.

MORNINGSTAR®

Constellation Energy Corp CEG ★★★ 19 Oct 2026 21:44, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation
271.37 USD 16 Oct 2026	238.00 USD 15 Oct 2026 00:27, UTC	1.11	93.25 USD Bil 19 Oct 2026	Narrow	Mid Growth	High	Exemplary

Financial Leverage (Reporting Currency)	Actual			Forecast				
Fiscal Year, ends 31 Dec	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Debt/Capital %	19.9	10.7	7.5	21.7	20.8	18.8	16.5	14.4
Assets/Equity	4.5	3.9	3.9	4.1	3.8	3.5	3.2	2.9
Net Debt/EBITDA	2.2	0.9	1.1	2.7	2.5	2.0	1.5	1.3
Total Debt/EBITDA	2.3	1.4	1.8	2.9	2.7	2.1	1.7	1.5
EBITDA/ Net Interest Expense	9.2	12.1	9.8	12.0	10.0	7.7	9.4	10.3

Forecast Revisions as of	**2026**		**2027**		**2028**	
Prior data as of 14 Oct 2026	**Current**	**Prior**	**Current**	**Prior**	**Current**	**Prior**
Fair Value Estimate Change (Trading Currency)	238.00	238.11	—	—	—	—
Revenue (USD Mil)	—	42,960	—	44,029	—	47,070
Operating Income (USD Mil)	—	7,198	—	7,686	—	9,239
EBITDA (USD Mil)	—	8,323	—	9,011	—	10,700
Net Income (USD Mil)	—	4,312	—	4,522	—	5,295
Earnings Per Share (Diluted) (USD)	—	12.08	—	13.05	—	15.61
Adjusted Earnings Per Share (Diluted) (USD)	—	12.08	—	13.05	—	15.61
Dividends Per Share (USD)	—	1.70	—	1.85	—	2.00

Key Valuation Drivers as of 14 Oct 2026

Cost of Equity %	9.6
Pre-Tax Cost of Debt %	8.0
Weighted Average Cost of Capital %	8.0
Long-Run Tax Rate %	—
Stage II EBI Growth Rate %	4.0
Stage II Investment Rate %	25.0
Perpetuity Year	15

Additional estimates and scenarios available for download at https://pitchbook.com/.

Discounted Cash Flow Valuation as of 14 Oct 2026

	USD Mil
Present Value Stage I	11,032
Present Value Stage II	29,567
Present Value Stage III	43,018
Total Firm Value	**83,617**
Cash and Equivalents	3,641
Debt	8,992
Other Adjustments	1,025
Equity Value	**79,290**
Projected Diluted Shares	356
Fair Value per Share (USD)	**238.00**

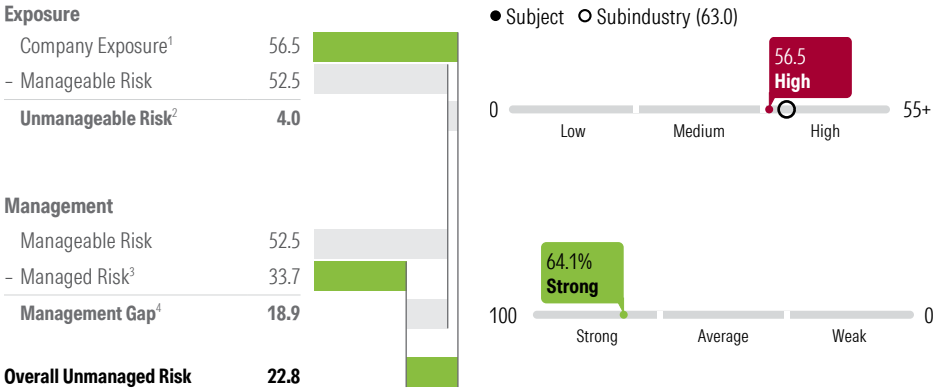
© Morningstar 2026. All Rights Reserved. Unless otherwise provided in a separate agreement, you may use this report only in the country in which its original distributor is based. The information, data, analyses and opinions presented herein do not constitute investment advice; are provided solely for informational purposes and therefore are not an offer to buy or sell a security; and are not warranted to be correct, complete or accurate. The opinions expressed are as of the date written and are subject to change without notice. Except as otherwise required by law, Morningstar shall not be responsible for any trading decisions, damages or other losses resulting from, or related to, the information, data, analyses or opinions or their use. The information contained herein is the proprietary property of Morningstar and may not be reproduced, in whole or in part, or used in any manner, without the prior written consent of Morningstar. Investment research is produced and issued by subsidiaries of Morningstar, Inc. To order reprints, call +1 312-696-6100. To license the research, call +1 312-696-6869. Please see important disclosures at the end of this report.

MORNINGSTAR®

Constellation Energy Corp CEG ★★★ 19 Oct 2026 21:44, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation
271.37 USD 16 Oct 2026	238.00 USD 15 Oct 2026 00:27, UTC	1.11	93.25 USD Bil 19 Oct 2026	Narrow	Mid Growth	High	Exemplary

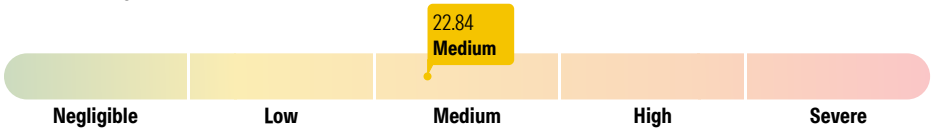
ESG Risk Rating Breakdown



- Exposure represents a company's vulnerability to ESG risks driven by their business model
- Exposure is assessed at the Subindustry level and then specified at the company level
- Scoring ranges from 0-55+ with categories of low, medium, and high-risk exposure

- Management measures a company's ability to manage ESG risks through its commitments and actions
- Management assesses a company's efficiency on ESG programs, practices, and policies
- Management score ranges from 0-100% showing how much manageable risk a company is managing

ESG Risk Rating



ESG Risk Ratings measure the degree to which a company's value is impacted by environmental, social, and governance risks, by evaluating the company's ability to manage the ESG risks it faces.

ESG Risk Rating is of Oct 17, 2026. Highest Controversy Level is as of Oct 08, 2026. Sustainalytics Subindustry: Independent Power Production and Traders. Sustainalytics provides Morningstar with company ESG ratings and metrics on a monthly basis and as such, the ratings in Morningstar may not necessarily reflect current Sustainalytics' scores for the company. For the most up to date rating and more information, please visit: sustainalytics.com/esg-ratings/.

1. A company's Exposure to material ESG issues 2. Unmanageable Risk refers to risks that are inherent to a particular business model that cannot be managed by programs or initiatives 3. Managed Risk = Manageable Risk multiplied by a Management score of 64.1% 4. Management Gap assesses risks that are not managed, but are considered manageable

Peer Analysis 17 Oct 2026

Peers are selected from the company's Sustainalytics-defined Subindustry and are displayed based on the closest market cap values

Company Name	Exposure			Management			ESG Risk Rating		
Constellation Energy Corp	56.5 | High	0	55+	64.1 | Strong	100	0	22.8 | Medium	0	40+
NRG Energy Inc	65.9 | High	0	55+	42.6 | Average	100	0	39.7 | High	0	40+
Clearway Energy Inc	62.8 | High	0	55+	26.4 | Average	100	0	47.3 | Severe	0	40+
Vistra Corp	69.3 | High	0	55+	63.7 | Strong	100	0	28.3 | Medium	0	40+
Fluence Energy Inc	46.8 | Medium	0	55+	45.1 | Average	100	0	26.9 | Medium	0	40+

Morningstar Sustainalytics ESG ratings are issued in accordance with the EU ESG Ratings Regulation (2024/3005). For regulatory disclosures related to Morningstar Sustainalytics ESG ratings, please see Morningstar Sustainalytics Ratings Transparency.

© Morningstar 2026. All Rights Reserved. Unless otherwise provided in a separate agreement, you may use this report only in the country in which its original distributor is based. The information, data, analyses and opinions presented herein do not constitute investment advice; are provided solely for informational purposes and therefore are not an offer to buy or sell a security; and are not warranted to be correct, complete or accurate. The opinions expressed are as of the date written and are subject to change without notice. Except as otherwise required by law, Morningstar shall not be responsible for any trading decisions, damages or other losses resulting from, or related to, the information, data, analyses or opinions or their use. The information contained herein is the proprietary property of Morningstar and may not be reproduced, in whole or in part, or used in any manner, without the prior written consent of Morningstar. Investment research is produced and issued by subsidiaries of Morningstar, Inc. To order reprints, call +1 312-696-6100. To license the research, call +1 312-696-6869. Please see important disclosures at the end of this report.

MORNINGSTAR®

Appendix

Historical Morningstar Rating

Constellation Energy Corp CEG 19 Oct 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	★★★	—	—	—	—	—	—	—	—	—
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
—	—	—	—	—	—	—	—	—	—	—	—
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
—	—	—	—	—	—	—	—	—	—	—	—
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
—	—	—	—	—	—	—	—	—	—	—	—
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
—	—	—	—	—	—	—	—	—	—	—	—
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
—	—	—	—	—	—	—	—	—	—	—	—

Vistra Corp VST 19 Oct 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	★★	★★	★★	★★	★	★	★	★	★	★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★	★	★	★	★	★	★	★	★	★	★	★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★	★	★	★	★	★	★	★	★	★	★	★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★	★★	★★	★★	★★	★★	★★★	★★★	★★★	★★★	★★★	★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★	★★★	★★★	★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★★	★★★	★★★★	★★★	★★★	★★★	★★★★	★★★	★★★	★★★	★★★

NRG Energy Inc NRG 19 Oct 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	★★★	★★★	★★★	★★	★★	★★	★	★★	★	★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★	★	★	★	★	★	★	★	★	★	★	★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★	★	★	★	★	★	★	★	★	★	★★	★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★	★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★	★★★	★★	★★★	★★★	★★★	★★★	★★	★★★	★★★	★★★	★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★	★★★	★★	★★	★★	★★	★★	★★★	★★★	★★★	★★★	★★

© Morningstar 2026. All Rights Reserved. Unless otherwise provided in a separate agreement, you may use this report only in the country in which its original distributor is based. The information, data, analyses and opinions presented herein do not constitute investment advice; are provided solely for informational purposes and therefore are not an offer to buy or sell a security; and are not warranted to be correct, complete or accurate. The opinions expressed are as of the date written and are subject to change without notice. Except as otherwise required by law, Morningstar shall not be responsible for any trading decisions, damages or other losses resulting from, or related to, the information, data, analyses or opinions or their use. The information contained herein is the proprietary property of Morningstar and may not be reproduced, in whole or in part, or used in any manner, without the prior written consent of Morningstar. Investment research is produced and issued by subsidiaries of Morningstar, Inc. To order reprints, call +1 312-696-6100. To license the research, call +1 312-696-6869. Please see important disclosures at the end of this report.

MORNINGSTAR®

Research Methodology for Valuing Companies

Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, indepth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss shortterm market-price movements), but we believe these negatives are mitigated by deep analysis and our longterm approach.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our singlepoint star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm's economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in workingcapital accounts, and capital spending. Based on these projections, we calculate earnings before interest, after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

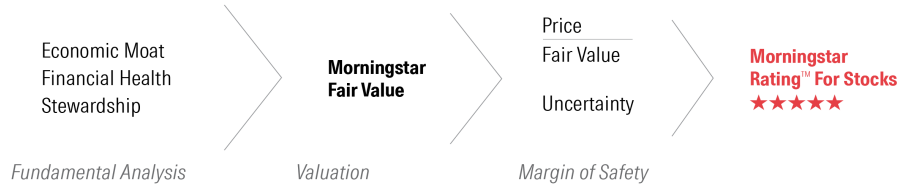
Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating is designed to capture the range of potential outcomes for a company's intrinsic value. This rating is used to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating is aimed at identifying the confidence we should have in assigning a fair value estimate for a given stock.

Our Uncertainty Rating is meant to take into account anything that can increase the potential dispersion of future

Morningstar Equity Research Star Rating Methodology



© Morningstar 2026. All Rights Reserved. Unless otherwise provided in a separate agreement, you may use this report only in the country in which its original distributor is based. The information, data, analyses and opinions presented herein do not constitute investment advice; are provided solely for informational purposes and therefore are not an offer to buy or sell a security; and are not warranted to be correct, complete or accurate. The opinions expressed are as of the date written and are subject to change without notice. Except as otherwise required by law, Morningstar shall not be responsible for any trading decisions, damages or other losses resulting from, or related to, the information, data, analyses or opinions or their use. The information contained herein is the proprietary property of Morningstar and may not be reproduced, in whole or in part, or used in any manner, without the prior written consent of Morningstar. Investment research is produced and issued by subsidiaries of Morningstar, Inc. To order reprints, call +1 312-696-6100. To license the research, call +1 312-696-6869. Please see important disclosures at the end of this report.

MORNINGSTAR®

Research Methodology for Valuing Companies

outcomes for the intrinsic value of a company, and anything that can affect our ability to accurately predict these outcomes. The rating begins with a suggested rating produced by a quantitative process based on the trailing 12-month standard deviation of daily stock returns. An analyst overlay is then applied, with analysts using the suggested rating, historical rating data, and their own knowledge of the company to inform them as they make the final Uncertainty Rating decision. Ultimately, the rating decision rests with the analyst. Analysts take into account many characteristics when making their final decision, including cyclical factors, operational and financial factors such as leverage, company-specific events, ESG risks, and anything else that might increase the potential dispersion of future outcomes and our ability to estimate those outcomes.

Our recommended margin of safety—the discount to fair value demanded before we'd recommend buying or selling the stock—widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the potential dispersion of outcomes, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the Uncertainty Rating provides guidance in portfolio construction based on risk tolerance.

Our Uncertainty Ratings are: Low, Medium, High, Very High, and Extreme.

	Margin of Safety	
Qualitative Analysis Uncertainty Ratings	★★★★★Rating	★Rating
Low	20% Discount	25% Premium
Medium	30% Discount	35% Premium
High	40% Discount	55% Premium
Very High	50% Discount	75% Premium
Extreme	75% Discount	300% Premium

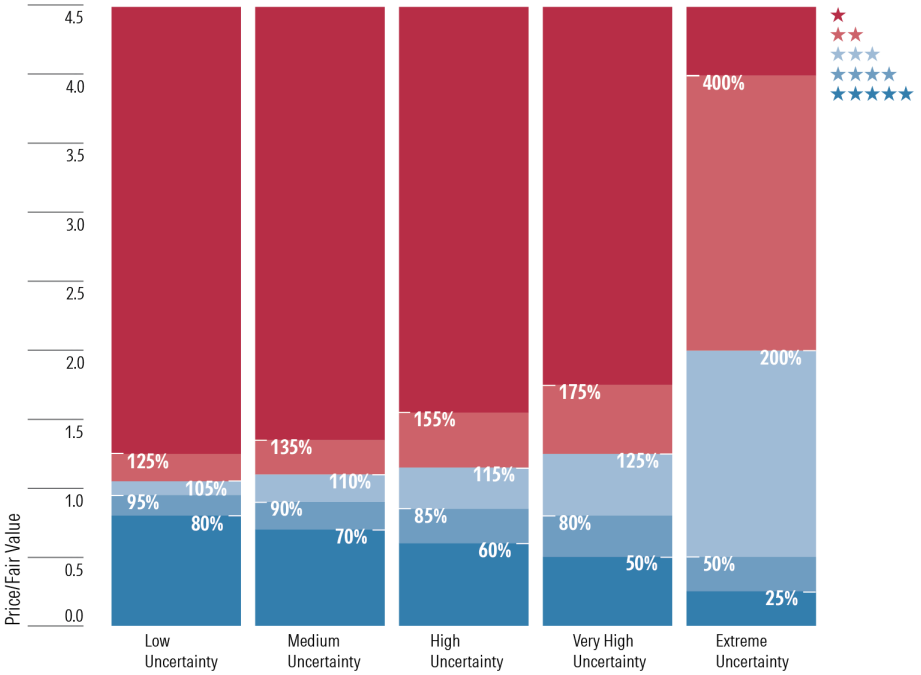
Our uncertainty rating is based on the interquartile range, or the middle 50% of potential outcomes, covering the 25th percentile–75th percentile. This means that when a stock hits 5 stars, we expect there is a 75% chance that the intrinsic value of that stock lies above the current market price. Similarly, when a stock hits 1 star, we expect there is a 75% chance that the intrinsic value of that stock lies below the current market price.

4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more details about our methodology, please go to https://shareholders.morningstar.com

Morningstar Equity Research Star Rating Methodology



Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk adjusted return is highly likely over a multiyear time frame. Scenario analysis developed by our analysts indicates that the current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multiyear time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Other Definitions

Last Price: Price of the stock as of the close of the market of the last trading day before date of the report.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments,

© Morningstar 2026. All Rights Reserved. Unless otherwise provided in a separate agreement, you may use this report only in the country in which its original distributor is based. The information, data, analyses and opinions presented herein do not constitute investment advice; are provided solely for informational purposes and therefore are not an offer to buy or sell a security; and are not warranted to be correct, complete or accurate. The opinions expressed are as of the date written and are subject to change without notice. Except as otherwise required by law, Morningstar shall not be responsible for any trading decisions, damages or other losses resulting from, or related to, the information, data, analyses or opinions or their use. The information contained herein is the proprietary property of Morningstar and may not be reproduced, in whole or in part, or used in any manner, without the prior written consent of Morningstar. Investment research is produced and issued by subsidiaries of Morningstar, Inc. To order reprints, call +1 312-696-6100. To license the research, call +1 312-696-6869. Please see important disclosures at the end of this report.

MORNINGSTAR®

Research Methodology for Valuing Companies

and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments, and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Sustainalytics ESG Risk Rating Assessment: The ESG Risk Rating Assessment is provided by Sustainalytics; a Morningstar company.

Sustainalytics' ESG Risk Ratings measure the degree to which company's economic value at risk is driven by environment, social and governance (ESG) factors.

Sustainalytics analyzes over 1,300 data points to assess a company's exposure to and management of ESG risks. In other words, ESG Risk Ratings measures a company's unmanaged ESG Risks represented as a quantitative score. Unmanaged Risk is measured on an open-ended scale starting at zero (no risk) with lower scores representing less unmanaged risk and, for 95% of cases, the unmanaged ESG Risk score is below 50.

Based on their quantitative scores, companies are grouped into one of five Risk Categories (negligible, low, medium, high, severe). These risk categories are absolute, meaning that a 'high risk' assessment reflects a comparable degree of unmanaged ESG risk across all subindustries covered.

The ESG Risk Rating Assessment is a visual representation of Sustainalytics ESG Risk Categories on a 1 to 5 scale. Companies with Negligible Risk = 5 Globes, Low Risk = 4, Medium Risk = 3 Globes, High Risk = 2 Globes, Severe Risk = 1 Globe. For more information, please visit sustainalytics.com/esg-ratings/

Ratings should not be used as the sole basis in evaluating a company or security. Ratings involve unknown risks and uncertainties which may cause our expectations not to occur or to differ significantly from what was expected and should not be considered an offer or solicitation to buy or sell a security.

Risk Warning

Please note that investments in securities are subject to market and other risks and there is no assurance or guarantee that the intended investment objectives will be achieved. Past performance of a security may or may not be sustained in future and is no indication of future performance. A security investment return and an investor's principal value will fluctuate so that, when redeemed, an investor's shares may be worth more or less than their original cost. A security's current investment performance may be lower or higher than the investment performance noted within the report. Morningstar's Uncertainty Rating serves as a useful data point with respect to sensitivity analysis of the assumptions used in our determining a fair value price.

General Disclosure

Unless otherwise provided in a separate agreement, recipients accessing this report may only use it in the country in which the Morningstar distributor is based. Unless stated otherwise, the original distributor of the report is Morningstar Research Services LLC, a U.S.A. domiciled financial institution.

This Report is for informational purposes, should not be the sole piece of information used in making an investment decision, and has no regard to the specific investment objectives, financial situation or particular needs of any specific recipient. This publication is intended to provide information to assist investors in making their own investment decisions, not to provide investment advice to any specific investor. Therefore, investments discussed herein may not be suitable for all investors; investors must exercise their own independent judgment as to the suitability of such investments and recommendations in the light of their own investment objectives, experience, taxation status and financial position. Morningstar encourages Report recipients to read all relevant issue documents (e.g., prospectus) pertaining to the security concerned, including without limitation, information relevant to its investment objectives, risks, and costs before making an investment decision and when deemed necessary, to seek the advice of a financial, legal, tax, and/or accounting professional. The information, data, analyses and opinions presented herein are not warranted to be accurate, correct, complete or timely. Unless otherwise provided in a separate agreement, neither Morningstar, Inc. or the Equity Research Group represents that the report contents meet all of the presentation and/or disclosure standards applicable in the jurisdiction the recipient is located.

Except as otherwise required by law or provided for in a separate agreement, the analyst, Morningstar, Inc. and the Equity Research Group and their officers, directors and employees shall not be responsible or liable for any trading decisions, damages or other losses resulting from, or related to, the information, data, analyses or opinions within the report.

The Report and its contents are not directed to, or intended for distribution to or use by, any person or entity who is a citizen or resident of or located in any locality, state, country or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or which would subject Morningstar, Inc. or its affiliates to any registration or licensing requirements in such jurisdiction.

Where this report is made available in a language other than English and in the case of inconsistencies between the English and translated versions of the report, the English version will control and supersede any ambiguities associated with any part or section of a report that has been issued in a foreign language. Neither the analyst, Morningstar, Inc., or the Equity Research Group guarantees the accuracy of the translations.

This report may be distributed in certain localities, countries and/or jurisdictions ("Territories") by independent third parties or independent intermediaries and/or distributors ("Distributors"). Such Distributors are not acting as agents or representatives of the analyst, Morningstar, Inc. or the Equity Research Group. In Territories where a Distributor distributes our report, the Distributor is solely responsible for complying with all applicable regulations, laws, rules, circulars, codes and guidelines established

© Morningstar 2026. All Rights Reserved. Unless otherwise provided in a separate agreement, you may use this report only in the country in which its original distributor is based. The information, data, analyses and opinions presented herein do not constitute investment advice; are provided solely for informational purposes and therefore are not an offer to buy or sell a security; and are not warranted to be correct, complete or accurate. The opinions expressed are as of the date written and are subject to change without notice. Except as otherwise required by law, Morningstar shall not be responsible for any trading decisions, damages or other losses resulting from, or related to, the information, data, analyses or opinions or their use. The information contained herein is the proprietary property of Morningstar and may not be reproduced, in whole or in part, or used in any manner, without the prior written consent of Morningstar. Investment research is produced and issued by subsidiaries of Morningstar, Inc. To order reprints, call +1 312-696-6100. To license the research, call +1 312-696-6869. Please see important disclosures at the end of this report.

MORNINGSTAR®

Research Methodology for Valuing Companies

by local and/or regional regulatory bodies, including laws in connection with the distribution third-party research reports.

Conflicts of Interest

- No interests are held by the analyst with respect to the security subject of this investment research report.
- Morningstar, Inc. may hold a long position in the security subject of this investment research report that exceeds 0.5% of the total issued share capital of the security. To determine if such is the case, please click http://msi.morningstar.com and http://mdi.morningstar.com
- Analysts' compensation is derived from Morningstar, Inc.'s overall earnings and consists of salary, bonus and in some cases restricted stock.
- Neither Morningstar, Inc. or the Equity Research Group receives commissions for providing research nor do they charge companies to be rated.
- Morningstar's overall earnings are generated in part by the activities of the Investment Management and Research groups, and other affiliates, who provide services to product issuers.
- Morningstar employees may not pursue business and employment opportunities outside Morningstar within the investment industry (including but not limited to, working as a financial planner, an investment professional or investment professional representative, a broker-dealer or broker-dealer agent, a financial writer, reporter, or analyst) without the approval of Morningstar's Legal and if applicable, Compliance teams.
- Neither Morningstar, Inc. or the Equity Research Group is a market maker or a liquidity provider of the security noted within this report.
- Neither Morningstar, Inc. or the Equity Research Group has been a lead manager or co-lead manager over the previous 12-months of any publicly disclosed offer of financial instruments of the issuer.
- Morningstar, Inc.'s investment management group does have arrangements with financial institutions to provide portfolio management/investment advice some of which an analyst may issue investment research reports on. However, analysts do not have authority over Morningstar's investment management group's business arrangements nor allow employees from the investment management group to participate or influence the analysis or opinion prepared by them.
- Morningstar, Inc. is a publicly traded company (Ticker Symbol: MORN) and thus a financial institution the security of which is the subject of this report may own more than 5% of Morningstar, Inc.'s total outstanding shares. Please access Morningstar, Inc.'s proxy statement, "Security Ownership of Certain Beneficial Owners and Management" section https://shareholders.morningstar.com/investor-relations/financials/sec-filings/default.aspx
- Morningstar, Inc. may provide the product issuer or its related entities with services or products for a fee and on an arms' length basis including software products and licenses, research and consulting services, data services, licenses to republish our ratings and research in their promotional material, event sponsorship and website advertising.

Further information on Morningstar, Inc.'s conflict of interest policies is available from http://global.morningstar.com/equitydisclosures. Also, please note analysts are subject to the CFA Institute's Code of Ethics and Standards of Professional Conduct.

Risk Warning Please note that investments in securities are subject to market and other risks and there is no assurance or guarantee that the intended investment objectives will be achieved. Past performance of a security may or may not be sustained in future and is no indication of future performance. A security's investment return and an investor's principal value will fluctuate so that, when redeemed, an investor's shares may be worth more or less than their original cost. A security's current investment performance may be lower or higher than the investment performance noted within the report. For investments in foreign markets there are further risks, generally based on exchange rate changes or changes in political and social conditions.

For more information about Morningstar's methodologies, please visit global.morningstar.com/equitydisclosures

For a list of securities which the Equity Research Group currently covers and provides written analysis on please contact your local Morningstar office. In addition, for historical analysis of securities covered, including their fair value estimate, please contact your local office.

For recipients in Australia: This Report has been issued and distributed in Australia by Morningstar Australasia Pty Ltd (ABN: 95 090 665 544; ASFL: 240892). Morningstar Australasia Pty Ltd is the provider of the general advice ('the Service') and takes responsibility for the production of this report. The Service is provided through the research of investment products.

To the extent the Report contains general advice it has been prepared without reference to an investor's objectives, financial situation or needs. Investors should consider the advice in light of these matters and, if applicable, the relevant Product Disclosure Statement before making any decision to invest. Refer to our Financial Services Guide (FSG) for more information at http://www.morningstar.com.au/fsg.pdf

For recipients in New Zealand: This report has been issued and distributed by Morningstar Australasia Pty Ltd and/or Morningstar Research Ltd (together 'Morningstar'). This report has been prepared and is intended for distribution in New Zealand to wholesale clients only and has not been prepared for use by New Zealand retail clients (as those terms are defined in the Financial Markets Conduct Act 2013).The information, views and any recommendations in this material are provided for general information purposes only, and solely relate to the companies and investment opportunities specified within. Our reports do not take into account any particular investor's financial situation, objectives or appetite for risk, meaning no representation may be implied as to the suitability of any financial product mentioned for any particular investor. We recommend seeking financial advice before making any investment decision.

For recipients in Hong Kong: The Report is distributed by Morningstar Investment Management Asia Limited, which is regulated by the Hong Kong Securities and Futures Commission to provide services to professional investors only. Neither Morningstar Investment Management Asia Limited, nor its representatives, are acting or will be deemed to be acting as an investment professional to any recipients of this information unless expressly agreed to by Morningstar Investment Management Asia Limited.

For recipients in India: This investment research is issued by Morningstar Investment Adviser India Private Limited. Morningstar Investment Adviser India Private Limited is registered with SEBI as a Portfolio Manager (registration number INP000006156) and as a Research Entity (registration number INH000008686). Morningstar Investment Adviser India Private Limited has not been the subject of any disciplinary action by SEBI or any other legal/regulatory body. Morningstar Investment Adviser India Private Limited is a wholly owned subsidiary of Morningstar Investment Management LLC. In India, Morningstar Investment Adviser India Private Limited has one associate, Morningstar India Private Limited, which provides data-related services, financial data analysis, and software development. The research analyst has not served as an officer, director, or employee of the fund company within the last 12 months, nor have they or their associates engaged in market-making activity for the fund company.The ESG-related information, methodologies, tool, ratings, data and opinions contained or reflected herein are not directed to or intended for use or distribution to India-based clients or users and their distribution to Indian resident individuals or entities is not permitted, and Morningstar/Sustainalytics accepts no responsibility or liability whatsoever for the actions of third parties in this respect.

*The Conflicts of Interest disclosure above also applies to relatives and associates of Manager Research Analysts in

© Morningstar 2026. All Rights Reserved. Unless otherwise provided in a separate agreement, you may use this report only in the country in which its original distributor is based. The information, data, analyses and opinions presented herein do not constitute investment advice; are provided solely for informational purposes and therefore are not an offer to buy or sell a security; and are not warranted to be correct, complete or accurate. The opinions expressed are as of the date written and are subject to change without notice. Except as otherwise required by law, Morningstar shall not be responsible for any trading decisions, damages or other losses resulting from, or related to, the information, data, analyses or opinions or their use. The information contained herein is the proprietary property of Morningstar and may not be reproduced, in whole or in part, or used in any manner, without the prior written consent of Morningstar. Investment research is produced and issued by subsidiaries of Morningstar, Inc. To order reprints, call +1 312-696-6100. To license the research, call +1 312-696-6869. Please see important disclosures at the end of this report.

MORNINGSTAR®

Research Methodology for Valuing Companies

India # The Conflicts of Interest disclosure above also applies to associates of Manager Research Analysts in India. The terms and conditions on which Morningstar Investment Adviser India Private Limited offers Investment Research to clients, varies from client to client, and are detailed in the respective client agreement.

For recipients in Japan: The Report is distributed by Ibbotson Associates Japan, Inc., which is regulated by Financial Services Agency, for informational purposes only. Neither Ibbotson Associates Japan, Inc., nor its representatives, are acting or will be deemed to be acting as an investment professional to any recipients of this information.

For recipients in Singapore: The Report is intended for Institutional Investor audiences and is distributed by Morningstar Investment Adviser Singapore Pte. Limited, which is licensed by the Monetary Authority of Singapore to provide financial advisory services in Singapore. Morningstar Investment Adviser Singapore Pte. Limited is the entity responsible for the creation and distribution of the research services described in this Report.

This content is provided for informational purposes only and may be shared or redistributed by Institutional Investors to their clients or other permitted persons, subject to obtaining the appropriate licence from Morningstar. Redistribution of this content is subject to any applicable conditions or limitations, including those agreed commercially or contractually with Morningstar. The person who shares or redistributes this content shall be solely responsible for compliance with all relevant legal and regulatory obligations in the jurisdictions in which the material is made available.

Investors should consult a financial adviser regarding the suitability of any investment product, taking into account their specific investment objectives, financial situation or particular needs, before making any investment decision.

Morningstar, Inc., and its affiliates rely on certain exemptions (Financial Advisers Regulations, Section 27(1)(e), Section 32B and 32C) to provide its investment research to recipients in Singapore.

For recipients in Korea: The report is distributed by Morningstar Korea Ltd., which has filed to the Financial Services Committee, for informational purposes only. Neither Morningstar Korea Ltd. nor its representatives are acting or will be deemed to be acting as an investment advisor to any recipients of this information.

© Morningstar 2026. All Rights Reserved. Unless otherwise provided in a separate agreement, you may use this report only in the country in which its original distributor is based. The information, data, analyses and opinions presented herein do not constitute investment advice; are provided solely for informational purposes and therefore are not an offer to buy or sell a security; and are not warranted to be correct, complete or accurate. The opinions expressed are as of the date written and are subject to change without notice. Except as otherwise required by law, Morningstar shall not be responsible for any trading decisions, damages or other losses resulting from, or related to, the information, data, analyses or opinions or their use. The information contained herein is the proprietary property of Morningstar and may not be reproduced, in whole or in part, or used in any manner, without the prior written consent of Morningstar. Investment research is produced and issued by subsidiaries of Morningstar, Inc. To order reprints, call +1 312-696-6100. To license the research, call +1 312-696-6869. Please see important disclosures at the end of this report.

MORNINGSTAR®